

July 8, 2026

Via CFTC Portal Submissions

Secretary of the Commission
Office of the Secretariat
U.S. Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, D.C. 20581

Re: ProphetX LLC – Amendment Pursuant to CFTC Regulation 40.6(a) — MLB Baseball Player Statistic Contracts, MLB Baseball Futures Contracts, and MLB Baseball Mainline Contracts

Pursuant to Section 5c(c)(1) of the Commodity Exchange Act (the “Act” or “CEA”) and Commission Regulation 40.6(a), ProphetX LLC (“ProphetX” or the “Exchange”), a registered designated contract market (“DCM”), hereby notifies the Commission that it is amending the Settlement Reference Source provision (referred to as “Source Agency” in certain of the Contracts’ terms) common to the following families of binary event contracts, each originally self-certified pursuant to Commission Regulation 40.2(a) on June 12, 2026 (collectively, the “Contracts”):

1. MLB Baseball Player Statistic Contracts;
2. MLB Baseball Futures Contracts; and
3. MLB Baseball Mainline Contracts, comprising the Moneyline, Run Line, and Total Runs sub-classes.

This Amendment will take effect 10 business days after certification, on July 22, 2026. The Exchange is making this change to expressly identify Major League Baseball (“MLB”), through MLB.com, as the primary source for settlement purposes in the Settlement Reference Source / Source Agency provision of each of the Contracts, consistent with the reference to MLB and MLB.com already set forth in the general settlement-criteria provisions of each Contract’s Appendix A. As currently in effect, the Settlement Reference Source / Source Agency provision of each of the Contracts identifies the primary source only generically, without naming MLB, which the Exchange has determined is inconsistent with, and should be conformed to, the balance of each Contract’s terms. The likely impact of this Amendment is improved internal consistency and transparency regarding the source ProphetX will consult to settle the Contracts, with no change to the economic terms, payout structure, or settlement outcome of the Contracts.

This is a straightforward, non-substantive modification to the Settlement Reference Source / Source Agency provision of the Contracts. The changes are as follows:

1. **MLB Baseball Player Statistic Contracts and the Moneyline sub-class of the MLB Baseball Mainline Contracts.** The sentence “The primary source for each event is the applicable governing body.” is replaced with “The primary source for the applicable event is Major League Baseball (‘MLB’) through MLB.com, or the official website of the applicable competition.” No other change is made to this provision.
2. **MLB Baseball Futures Contracts.** The sentence “The primary source for each event is the applicable governing body.” is replaced with “The primary source for the applicable event is Major League Baseball (‘MLB’) through MLB.com, or the official website of the applicable competition.” No other change is made to this provision.
3. **Run Line and Total Runs sub-classes of the MLB Baseball Mainline Contracts.** The sentence “The primary source for all events is the event’s relevant governing body.” is replaced with “The primary source for the applicable event is Major League Baseball (‘MLB’) through MLB.com, or the official website of the applicable competition.” No other change is made to this provision.
4. No other term of the Contracts, including the Underlying, Settlement Criteria, Minimum Tick, Notional Value, Position Accountability Level, or Last Trading Date/Time, is affected by this Amendment.

This submission includes the following:

- A concise description of the Amendment and analysis of its compliance with the Act, Core Principles, and Commission regulations;
- Appendix A-1 and A-1(a) – Clean copy and redline of the amended MLB Baseball Player Statistic Contracts Terms and Conditions;
- Appendix A-2 and A-2(a) – Clean copy and redline of the amended MLB Baseball Futures Contracts Terms and Conditions; and
- Appendix A-3 and A-3(a) – Clean copy and redline of the amended MLB Baseball Mainline Contracts Terms and Conditions.

No substantive opposing views were expressed to the Exchange by its governing board, any committee members, members of the Exchange, or market participants with respect to this Amendment. Pursuant to Commission Regulation 40.6(a), ProphetX certifies that the Amendment complies with the Act and the Commission’s regulations thereunder and that this submission has been concurrently posted on the Exchange’s website.

/s/ Gabe Wong
Gabe Wong
Chief Regulatory Officer
ProphetX LLC

Concise Description of the Amendment and Analysis of Compliance with the Commodity Exchange Act, Core Principles, and Commission Regulations

I. Introduction

Each of the Contracts is a binary event contract relating to Major League Baseball (“MLB”) games, events, or season-long outcomes, as more fully described in ProphetX’s original self-certification submissions for the Contracts, each dated June 12, 2026.¹

This Amendment revises only the Settlement Reference Source (or, in certain of the Contracts, “Source Agency”) provision of each of the Contracts, as described in the cover letter above. It does not alter the Underlying, Settlement Criteria, Position Accountability Level, Minimum Tick, Notional Value, or any other economic term of the Contracts.

II. Discussion of the Amendment

As currently in effect, the Settlement Reference Source / Source Agency provision of each of the Contracts identifies the primary settlement source only generically – as “the applicable governing body” (MLB Baseball Player Statistic Contracts; MLB Baseball Futures Contracts; the Moneyline sub-class of the MLB Baseball Mainline Contracts) or “the event’s relevant governing body” (the Run Line and Total Runs sub-classes of the MLB Baseball Mainline Contracts) – without naming MLB. This is inconsistent with the general settlement-criteria provisions elsewhere in each Contract’s Appendix A, which already provide that, unless otherwise specified, settlement is based on the official classifications, definitions, and tiebreaking rules established by Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition.

The Amendment resolves this inconsistency by revising the Settlement Reference Source / Source Agency provision of each of the Contracts to expressly identify MLB, through MLB.com, as the primary source (or, for events not conducted directly by MLB, the official website of the applicable competition), consistent with the remainder of each Contract’s terms.

This change is administrative and clarifying, not substantive: MLB.com is, and has been, the source ProphetX consults in practice under the general settlement-criteria provisions of each Contract, and the Amendment does not change which source ProphetX will consult, how a Settlement Value is determined, the designated secondary sources (ESPN and The Associated Press), or the Exchange’s existing settlement-disruption procedures under Rule 5.2 of the Rulebook.

III. Compliance with Core Principles

ProphetX has concluded that the Amendment is not inconsistent with the Act and the Commission’s regulations thereunder, including Core Principle 3 (Contracts Not Readily Susceptible to Manipulation) and Core Principle 7 (Availability of General Information). The Amendment identifies a specific, authoritative, and independent primary source for settlement purposes and thereby increases, rather than reduces, the transparency and predictability of the settlement process, supporting continued compliance with Core Principle 3. Consistent with

Core Principle 7, the amended Contract Terms and Conditions will be publicly available on the Exchange's website.

Pursuant to Section 5c(c) of the Act and CFTC Regulation 40.6(a), the Exchange hereby certifies that this Amendment complies with the Act and the Commission's regulations thereunder.

¹ The Contracts have not been endorsed by Major League Baseball, the Office of the Commissioner of Baseball, or any MLB club. The use of the name "Major League Baseball" is solely for the purpose of identifying the underlying event.

APPENDIX A-1 – CONTRACT TERMS AND CONDITIONS

1. MLB Baseball Player Statistic Contracts

Official Name	“Will <Player> record over <N> statistic in <Event>?”
Underlying	<Player> refers to a player named on the official roster of one of the two clubs competing in a specified MLB regular-season or postseason event. <Event> identifies the specific event by date, the two competing clubs, and relevant distinguishing information. <Event> refers to a given sporting event, or specified period within a sporting event. The specified period must be at minimum one (1) inning in duration. <N> refers to the stated statistical threshold listed on the platform. A “statistics” has the meaning assigned under MLB’s Official Rules as determined by the official scorer. The Exchange may list iterations with thresholds other than the standard line.
Settlement Reference Source	The Settlement Reference Source consists of authoritative, publicly available sources that publish official event results. The primary source for each event is the applicable governing body <u>the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition.</u> Secondary sources include ESPN and The Associated Press. If the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange may consult one or more secondary sources. If no Settlement Reference Source has published an official result and a settlement disruption exists, the Exchange may exercise its authority under Exchange Rule 5.2. All Settlement Reference Sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the designated Settlement Reference Sources by posting notice on its website or trading platform. Any instructions regarding access to a Settlement Reference Source are non-binding and provided solely for convenience.
Settlement Criteria	Resolves to “Yes” if the Settlement Reference Source reports that the applicable payout criteria set forth has been satisfied and no applicable contingency has been triggered according to the Settlement Criteria listed below: Unless otherwise specified in the applicable Contract Specifications, all Baseball event contracts listed on ProphetX shall be settled in

accordance with the rules set forth in this Chapter. Defined terms used herein have the meanings ascribed to them in the ProphetX Rulebook. References to 'orders' include resting and filled orders as applicable; references to 'settlement' or 'resolution' refer to final contract disposition following outcome determination.

A. General. All contracts are offered in accordance with ProphetX's Rulebook and Terms and Conditions. Unless specifically stated in the Contract Specifications, settlement of contracts shall be based on the official classifications, definitions, and tiebreaking rules established by Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition.

B. Scheduling. Dates and start times displayed on the Exchange are provided for informational purposes only and are not guaranteed. Official schedules are as published by the applicable governing body.

C. Postponed Events. If an event does not commence on the officially scheduled calendar day (local time), as published by the governing body, due to a rain delay or other deferral, all contracts referencing that event shall be void and collateral shall be returned to the applicable accounts.

D. Suspended Events. If an event commences, is suspended, and is not resumed within thirty-six (36) hours of the official scheduled start time, all contracts shall be void unless: (i) the contract is subject to the 4.5 Innings Rule as defined in Rule I. below; or (ii) the resolution of the contract was unequivocally determined prior to suspension.

E. 8.5 Innings Rule. Unless otherwise specified in the Contract Specifications, contracts shall be settled only upon completion of a minimum of nine (9) innings of play, or eight and one-half (8.5) innings should the home team be leading at the commencement of the bottom of the ninth inning (the "8.5 Innings Rule"), or

F. Unequivocal Outcomes. Contracts whose outcomes are unequivocally determined prior to the conclusion of an event (e.g., a 0.5 Hits contract where the referenced player recorded a hit before the event was suspended) shall be settled in accordance with that outcome, regardless of the state of the full event or any subsequent postponement.

G. Extra Innings. Extra innings are included in contract settlement for all markets unless otherwise stated in the applicable Contract Specifications.

H. Moneyline Contracts. A Moneyline contract is an event contract in which the outcome is determined by which team wins the referenced event. In the scenario of a shortened event, results shall be official after completion of five (5) innings of play, or four and one-half (4.5) innings should the home team be leading at the commencement of the bottom of the fifth inning (the "4.5 Innings Rule"). Once the visiting team has recorded fifteen (15) outs: (i) if the event is called early and the home team is leading, the contract shall resolve based on the score at the time the event is called; or (ii) if the event is called early while tied or during an inning in which the visiting team has taken the lead, it shall be treated as a suspended event and handled in accordance with Rule D above.

I. Spread Contracts. A Spread contract is an event contract in which the outcome is determined by whether the chosen team's margin of victory or defeat satisfies the listed spread. In circumstances where the result, after application of the Spread, exactly equals the Strike, that contract shall be void and collateral shall be returned to the applicable accounts. Example: a contract on Team A at -1.0 shall be void if Team A wins by exactly one (1) run.

J. Total Runs Contracts. A Total Runs contract is an event contract in which the outcome is determined by whether the combined final score of the referenced event is over the listed Strike. Orders shall resolve to Yes if the total exceeds the Strike, to No if the total falls below the Strike, and void if the total exactly equals the Strike. Example: an order on Over 5 Runs shall resolve to Yes if 6 runs are scored, to No if 4 runs are scored, and void if exactly 5 runs are scored.

K. Futures Contracts. A Futures contract is an event contract in which the outcome is determined by whether a specified participant wins or places within a specified position in the final classification of the listed event or competition. World Series, League, and Division Winners contracts shall be settled in accordance with the official MLB ruling, regardless of season length.

1. **Playoff Series Player Specials.** Dead-heat rules apply where multiple players tie for the lead in outright markets

such as "Player to Record Most Hits" or "Player to Record Most Home Runs."

L. Player Statistics Contracts (Props). For any Player Statistic contract, the referenced player must be in the starting lineup unless otherwise stated in the Contract Specifications, and must: (i) throw at least one (1) pitch, if a pitcher; or (ii) record at least one (1) plate appearance, if a position player, for the contract to have action.

1. **Player Markets – General.** For all MLB player markets, including Head-to-Head Player Statistic Contracts for a specific event, contracts shall be valid if the referenced player(s) are in the starting lineup and the outcome is unequivocally determined.

The following void conditions apply to all MLB player statistic contracts unless explicitly stated otherwise in the Contract Specifications:

2. **Pitcher Markets.** Contracts shall be void if the listed pitcher does not start the event.
3. **Batter Markets (Hits, Runs, etc.).** Contracts shall be void if the listed player does not record a plate appearance.
4. **Total Strikeouts.** The listed pitcher must start the event for contracts to be valid. Contracts shall remain valid regardless of whether the opposing listed pitcher starts.
5. **Total Bases.** A batter shall be credited with total bases only upon recording a single (1 base), double (2 bases), triple (3 bases), or home run (4 bases).
6. **Intentional Walks.** An intentional walk shall count as a walk for purposes of settlement for both the batter who is walked and the pitcher who is pitching at the time of the intentional walk.
7. **Player Statistic Parlays.** For pitcher legs, the listed pitcher must start the event for contracts to stand; contracts shall remain valid regardless of a change in status of the opposing listed pitcher. For batter legs, the listed player must start and record at least one (1) plate appearance for contracts to stand; failing either condition, contracts on that leg shall be voided. A change in the status of either listed pitcher shall have no bearing on the settlement of any batter-specific leg of a Player Performance Parlay.

	M. Individual Season Award Futures. This category includes, but is not limited to, MLB MVP, MLB Rookie of the Year, Gold Glove Winner, MLB Manager of the Year, and all other individual MLB player season awards. Settlement shall be determined by the outcome declared by the relevant voting association (e.g., the Baseball Writers' Association of America for the Rookie of the Year, MVP, and Cy Young; MLB active players and managers for the Gold Glove and Silver Slugger). N. Home Run Derby. Contracts relating to home run distances shall be settled according to figures provided by MLB's Statcast. For contracts referencing two or more contestants, if two contestants are eliminated in the same stage of the competition, contracts on which player will advance further shall be void. O. All-Star Markets. Contracts relating to specific All-Star markets, including but not limited to the MLB All-Star MVP, shall be settled upon the winner declared by MLB through MLB.com. P. Any Team to Hit a Grand Slam. Contracts on "Any Team to Hit a Grand Slam" shall be settled as a win if a player hits a home run with runners on first, second, and third base at the time of contact. Any event that commences on the date the contract is listed shall be included for settlement purposes.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.
Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Settlement Reference Source. No new position may be opened after this time.

Expiration Date and Time	The date and time at which the outcome of the Contract becomes determinable based on information published by the Settlement Reference Source with respect to <Event>. If it is postponed, suspended, or rescheduled, the Expiration Date and Time will be adjusted accordingly.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

Common Provisions: Contracts are issued on a recurring basis corresponding to MLB regular-season and postseason scheduling. The Exchange may list multiple iterations of each sub-class for the same event. All Contracts are fully collateralized, cash-settled, and constitute Swaps under the CEA. Settlement determinations are final and irrevocable once effected, subject to Rule 5.2 of the Rulebook. The final Settlement Value and supporting settlement information for each Contract will be publicly posted on the Exchange's website following settlement.

APPENDIX A-1(a) – CONTRACT TERMS AND CONDITIONS**1. MLB Baseball Player Statistic Contracts**

Official Name	“Will <Player> record over <N> statistic in <Event>?”
Underlying	<Player> refers to a player named on the official roster of one of the two clubs competing in a specified MLB regular-season or postseason event. <Event> identifies the specific event by date, the two competing clubs, and relevant distinguishing information. <Event> refers to a given sporting event, or specified period within a sporting event. The specified period must be at minimum one (1) inning in duration. <N> refers to the stated statistical threshold listed on the platform. A “statistics” has the meaning assigned under MLB’s Official Rules as determined by the official scorer. The Exchange may list iterations with thresholds other than the standard line.
Settlement Reference Source	The Settlement Reference Source consists of authoritative, publicly available sources that publish official event results. The primary source for the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition. Secondary sources include ESPN and The Associated Press. If the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange may consult one or more secondary sources. If no Settlement Reference Source has published an official result and a settlement disruption exists, the Exchange may exercise its authority under Exchange Rule 5.2. All Settlement Reference Sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the designated Settlement Reference Sources by posting notice on its website or trading platform. Any instructions regarding access to a Settlement Reference Source are non-binding and provided solely for convenience.
Settlement Criteria	Resolves to “Yes” if the Settlement Reference Source reports that the applicable payout criteria set forth has been satisfied and no applicable contingency has been triggered according to the Settlement Criteria listed below: Unless otherwise specified in the applicable Contract Specifications, all Baseball event contracts listed on ProphetX shall be settled in accordance with the rules set forth in this Chapter. Defined terms

used herein have the meanings ascribed to them in the ProphetX Rulebook. References to 'orders' include resting and filled orders as applicable; references to 'settlement' or 'resolution' refer to final contract disposition following outcome determination.

A. General. All contracts are offered in accordance with ProphetX's Rulebook and Terms and Conditions. Unless specifically stated in the Contract Specifications, settlement of contracts shall be based on the official classifications, definitions, and tiebreaking rules established by Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition.

B. Scheduling. Dates and start times displayed on the Exchange are provided for informational purposes only and are not guaranteed. Official schedules are as published by the applicable governing body.

C. Postponed Events. If an event does not commence on the officially scheduled calendar day (local time), as published by the governing body, due to a rain delay or other deferral, all contracts referencing that event shall be void and collateral shall be returned to the applicable accounts.

D. Suspended Events. If an event commences, is suspended, and is not resumed within thirty-six (36) hours of the official scheduled start time, all contracts shall be void unless: (i) the contract is subject to the 4.5 Innings Rule as defined in Rule I. below; or (ii) the resolution of the contract was unequivocally determined prior to suspension.

E. 8.5 Innings Rule. Unless otherwise specified in the Contract Specifications, contracts shall be settled only upon completion of a minimum of nine (9) innings of play, or eight and one-half (8.5) innings should the home team be leading at the commencement of the bottom of the ninth inning (the "8.5 Innings Rule"), or

F. Unequivocal Outcomes. Contracts whose outcomes are unequivocally determined prior to the conclusion of an event (e.g., a 0.5 Hits contract where the referenced player recorded a hit before the event was suspended) shall be settled in accordance with that outcome, regardless of the state of the full event or any subsequent postponement.

G. Extra Innings. Extra innings are included in contract settlement for all markets unless otherwise stated in the applicable Contract Specifications.

H. Moneyline Contracts. A Moneyline contract is an event contract in which the outcome is determined by which team wins the referenced event. In the scenario of a shortened event, results shall be official after completion of five (5) innings of play, or four and one-half (4.5) innings should the home team be leading at the commencement of the bottom of the fifth inning (the "4.5 Innings Rule"). Once the visiting team has recorded fifteen (15) outs: (i) if the event is called early and the home team is leading, the contract shall resolve based on the score at the time the event is called; or (ii) if the event is called early while tied or during an inning in which the visiting team has taken the lead, it shall be treated as a suspended event and handled in accordance with Rule D above.

I. Spread Contracts. A Spread contract is an event contract in which the outcome is determined by whether the chosen team's margin of victory or defeat satisfies the listed spread. In circumstances where the result, after application of the Spread, exactly equals the Strike, that contract shall be void and collateral shall be returned to the applicable accounts. Example: a contract on Team A at -1.0 shall be void if Team A wins by exactly one (1) run.

J. Total Runs Contracts. A Total Runs contract is an event contract in which the outcome is determined by whether the combined final score of the referenced event is over the listed Strike. Orders shall resolve to Yes if the total exceeds the Strike, to No if the total falls below the Strike, and void if the total exactly equals the Strike. Example: an order on Over 5 Runs shall resolve to Yes if 6 runs are scored, to No if 4 runs are scored, and void if exactly 5 runs are scored.

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such as "Player to Record Most Hits" or "Player to Record Most Home Runs."

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1. **Player Markets – General.** For all MLB player markets, including Head-to-Head Player Statistic Contracts for a specific event, contracts shall be valid if the referenced player(s) are in the starting lineup and the outcome is unequivocally determined.

The following void conditions apply to all MLB player statistic contracts unless explicitly stated otherwise in the Contract Specifications:

2. **Pitcher Markets.** Contracts shall be void if the listed pitcher does not start the event.
3. **Batter Markets (Hits, Runs, etc.).** Contracts shall be void if the listed player does not record a plate appearance.
4. **Total Strikeouts.** The listed pitcher must start the event for contracts to be valid. Contracts shall remain valid regardless of whether the opposing listed pitcher starts.
5. **Total Bases.** A batter shall be credited with total bases only upon recording a single (1 base), double (2 bases), triple (3 bases), or home run (4 bases).
6. **Intentional Walks.** An intentional walk shall count as a walk for purposes of settlement for both the batter who is walked and the pitcher who is pitching at the time of the intentional walk.
7. **Player Statistic Parlays.** For pitcher legs, the listed pitcher must start the event for contracts to stand; contracts shall remain valid regardless of a change in status of the opposing listed pitcher. For batter legs, the listed player must start and record at least one (1) plate appearance for contracts to stand; failing either condition, contracts on that leg shall be voided. A change in the status of either listed pitcher shall have no bearing on the settlement of any batter-specific leg of a Player Performance Parlay.

	M. Individual Season Award Futures. This category includes, but is not limited to, MLB MVP, MLB Rookie of the Year, Gold Glove Winner, MLB Manager of the Year, and all other individual MLB player season awards. Settlement shall be determined by the outcome declared by the relevant voting association (e.g., the Baseball Writers' Association of America for the Rookie of the Year, MVP, and Cy Young; MLB active players and managers for the Gold Glove and Silver Slugger). N. Home Run Derby. Contracts relating to home run distances shall be settled according to figures provided by MLB's Statcast. For contracts referencing two or more contestants, if two contestants are eliminated in the same stage of the competition, contracts on which player will advance further shall be void. O. All-Star Markets. Contracts relating to specific All-Star markets, including but not limited to the MLB All-Star MVP, shall be settled upon the winner declared by MLB through MLB.com. P. Any Team to Hit a Grand Slam. Contracts on "Any Team to Hit a Grand Slam" shall be settled as a win if a player hits a home run with runners on first, second, and third base at the time of contact. Any event that commences on the date the contract is listed shall be included for settlement purposes.
Minimum Tick	\$0.01 per Contract.
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Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.
Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Settlement Reference Source. No new position may be opened after this time.

Expiration Date and Time	The date and time at which the outcome of the Contract becomes determinable based on information published by the Settlement Reference Source with respect to <Event>. If it is postponed, suspended, or rescheduled, the Expiration Date and Time will be adjusted accordingly.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

Common Provisions: Contracts are issued on a recurring basis corresponding to MLB regular-season and postseason scheduling. The Exchange may list multiple iterations of each sub-class for the same event. All Contracts are fully collateralized, cash-settled, and constitute Swaps under the CEA. Settlement determinations are final and irrevocable once effected, subject to Rule 5.2 of the Rulebook. The final Settlement Value and supporting settlement information for each Contract will be publicly posted on the Exchange's website following settlement.

APPENDIX A-2 – CONTRACT TERMS AND CONDITIONS

1. MLB Baseball Futures Contracts

Official Name	“Will <Competitor> achieve <Outcome> in <Season>?”
Underlying	<Competitor> refers to an MLB club, player, or staff member recognized by Major League Baseball. <Season> refers to the applicable MLB season, as listed on the platform. The Contract references whether <Competitor> achieves the <Outcome> as officially determined by MLB.
Source Agency	The Settlement Reference Source consists of authoritative, publicly available sources that publish official event results. The primary source for each event is the applicable governing body <u>the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition</u> . Secondary sources include ESPN and The Associated Press. If the primary source has not published an official result within a reasonable time following the official determination of the referenced outcome, the Exchange may consult one or more secondary sources. If no Settlement Reference Source has published an official result and a settlement disruption exists, the Exchange may exercise its authority under Exchange Rule 5.2. All Settlement Reference Sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the designated Settlement Reference Sources by posting notice on its website or trading platform. Any instructions regarding access to a Settlement Reference Source are non-binding and provided solely for convenience.
Settlement Criteria	Resolves to “Yes” if the Settlement Reference Source reports that the applicable payout criteria set forth has been satisfied and no applicable contingency has been triggered according to the Settlement Criteria listed below: Unless otherwise specified in the applicable Contract Specifications, all Baseball event contracts listed on ProphetX shall be settled in accordance with the rules set forth in this Chapter. Defined terms used herein have the meanings ascribed to them in the ProphetX Rulebook. References to 'orders' include resting and filled orders as applicable; references to 'settlement' or 'resolution' refer to final contract disposition following outcome determination. A. General. All contracts are offered in accordance with ProphetX's Rulebook and Terms and Conditions. Unless specifically stated in the Contract Specifications, settlement of contracts shall be based on the official classifications, definitions, and tiebreaking rules established by

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B. Scheduling. Dates and start times displayed on the Exchange are provided for informational purposes only and are not guaranteed. Official schedules are as published by the applicable governing body.

C. Postponed Events. If an event does not commence on the officially scheduled calendar day (local time), as published by the governing body, due to a rain delay or other deferral, all contracts referencing that event shall be void and collateral shall be returned to the applicable accounts.

D. Suspended Events. If an event commences, is suspended, and is not resumed within thirty-six (36) hours of the official scheduled start time, all contracts shall be void unless: (i) the contract is subject to the 4.5 Innings Rule as defined in Rule I. below; or (ii) the resolution of the contract was unequivocally determined prior to suspension.

E. 8.5 Innings Rule. Unless otherwise specified in the Contract Specifications, contracts shall be settled only upon completion of a minimum of nine (9) innings of play, or eight and one-half (8.5) innings should the home team be leading at the commencement of the bottom of the ninth inning (the "8.5 Innings Rule"), or

F. Unequivocal Outcomes. Contracts whose outcomes are unequivocally determined prior to the conclusion of an event (e.g., a 0.5 Hits contract where the referenced player recorded a hit before the event was suspended) shall be settled in accordance with that outcome, regardless of the state of the full event or any subsequent postponement.

G. Extra Innings. Extra innings are included in contract settlement for all markets unless otherwise stated in the applicable Contract Specifications.

H. Moneyline Contracts. A Moneyline contract is an event contract in which the outcome is determined by which team wins the referenced event. In the scenario of a shortened event, results shall be official after completion of five (5) innings of play, or four and one-half (4.5) innings should the home team be leading at the commencement of the bottom of the fifth inning (the "4.5 Innings Rule"). Once the visiting team has recorded fifteen (15) outs: (i) if the event is called early and the home team is leading, the contract shall resolve based on the score at the time the event is called; or (ii) if the event is called early while tied or during an inning in which the visiting team has taken the lead, it shall be treated as a suspended event and handled in accordance with Rule D above.

I. Spread Contracts. A Spread contract is an event contract in which the outcome is determined by whether the chosen team's margin of

victory or defeat satisfies the listed spread. In circumstances where the result, after application of the Spread, exactly equals the Strike, that contract shall be void and collateral shall be returned to the applicable accounts. Example: a contract on Team A at -1.0 shall be void if Team A wins by exactly one (1) run.

J. Total Runs Contracts. A Total Runs contract is an event contract in which the outcome is determined by whether the combined final score of the referenced event is over the listed Strike. Orders shall resolve to Yes if the total exceeds the Strike, to No if the total falls below the Strike, and void if the total exactly equals the Strike. Example: an order on Over 5 Runs shall resolve to Yes if 6 runs are scored, to No if 4 runs are scored, and void if exactly 5 runs are scored.

K. Futures Contracts. A Futures contract is an event contract in which the outcome is determined by whether a specified participant wins or places within a specified position in the final classification of the listed event or competition. World Series, League, and Division Winners contracts shall be settled in accordance with the official MLB ruling, regardless of season length.

1. Playoff Series Player Specials. Dead-heat rules apply where multiple players tie for the lead in outright markets such as "Player to Record Most Hits" or "Player to Record Most Home Runs."

L. Player Statistics Contracts (Props). For any Player Statistic contract, the referenced player must be in the starting lineup unless otherwise stated in the Contract Specifications, and must: (i) throw at least one (1) pitch, if a pitcher; or (ii) record at least one (1) plate appearance, if a position player, for the contract to have action.

1. Player Markets – General. For all MLB player markets, including Head-to-Head Player Statistic Contracts for a specific event, contracts shall be valid if the referenced player(s) are in the starting lineup and the outcome is unequivocally determined.

The following void conditions apply to all MLB player statistic contracts unless explicitly stated otherwise in the Contract Specifications:

2. Pitcher Markets. Contracts shall be void if the listed pitcher does not start the event.
3. Batter Markets (Hits, Runs, etc.). Contracts shall be void if the listed player does not record a plate appearance.
4. Total Strikeouts. The listed pitcher must start the event for contracts to be valid. Contracts shall remain valid regardless of whether the opposing listed pitcher starts.
5. Total Bases. A batter shall be credited with total bases only upon recording a single (1 base), double (2 bases), triple (3 bases), or home run (4 bases).

	6. Intentional Walks. An intentional walk shall count as a walk for purposes of settlement for both the batter who is walked and the pitcher who is pitching at the time of the intentional walk. 7. Player Statistic Parlays. For pitcher legs, the listed pitcher must start the event for contracts to stand; contracts shall remain valid regardless of a change in status of the opposing listed pitcher. For batter legs, the listed player must start and record at least one (1) plate appearance for contracts to stand; failing either condition, contracts on that leg shall be voided. A change in the status of either listed pitcher shall have no bearing on the settlement of any batter-specific leg of a Player Performance Parlay. M. Individual Season Award Futures. This category includes, but is not limited to, MLB MVP, MLB Rookie of the Year, Gold Glove Winner, MLB Manager of the Year, and all other individual MLB player season awards. Settlement shall be determined by the outcome declared by the relevant voting association (e.g., the Baseball Writers' Association of America for the Rookie of the Year, MVP, and Cy Young; MLB active players and managers for the Gold Glove and Silver Slugger). N. Home Run Derby. Contracts relating to home run distances shall be settled according to figures provided by MLB's Statcast. For contracts referencing two or more contestants, if two contestants are eliminated in the same stage of the competition, contracts on which player will advance further shall be void. O. All-Star Markets. Contracts relating to specific All-Star markets, including but not limited to the MLB All-Star MVP, shall be settled upon the winner declared by MLB through MLB.com. P. Any Team to Hit a Grand Slam. Contracts on "Any Team to Hit a Grand Slam" shall be settled as a win if a player hits a home run with runners on first, second, and third base at the time of contact. Any event that commences on the date the contract is listed shall be included for settlement purposes.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.

Last Trading Date/Time	Trading closes when the <Competitor> is no longer eligible to achieve the relevant <Outcome> in the <Season> or has achieved the relevant <Outcome> in the <Season> and the result is reflected by the Settlement Reference Source. No new position may be opened after this time.
Expiration Date and Time	The date and time at which the outcome of the Contract becomes determinable based on information published by the Settlement Reference Source with respect to the <Outcome> for the <Season>. The Expiration Date and Time will be adjusted to reflect any change to MLB's schedule, standings, or postseason format.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

Common Provisions: Contracts are issued on a recurring basis corresponding to the MLB season and postseason calendar. The Exchange may list multiple iterations referencing different competitors, titles, and seasons. All Contracts are fully collateralized, cash-settled, and constitute Swaps under the CEA. Settlement determinations are final and irrevocable once effected, subject to Rule 5.2 of the Rulebook. The final Settlement Value and supporting settlement information for each Contract will be publicly posted on the Exchange's website following settlement.

APPENDIX A-2(a) – CONTRACT TERMS AND CONDITIONS**1. MLB Baseball Futures Contracts**

Official Name	“Will <Competitor> achieve <Outcome> in <Season>?”
Underlying	<Competitor> refers to an MLB club, player, or staff member recognized by Major League Baseball. <Season> refers to the applicable MLB season, as listed on the platform. The Contract references whether <Competitor> achieves the <Outcome> as officially determined by MLB.
Source Agency	The Settlement Reference Source consists of authoritative, publicly available sources that publish official event results. The primary source for the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition. Secondary sources include ESPN and The Associated Press. If the primary source has not published an official result within a reasonable time following the official determination of the referenced outcome, the Exchange may consult one or more secondary sources. If no Settlement Reference Source has published an official result and a settlement disruption exists, the Exchange may exercise its authority under Exchange Rule 5.2. All Settlement Reference Sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the designated Settlement Reference Sources by posting notice on its website or trading platform. Any instructions regarding access to a Settlement Reference Source are non-binding and provided solely for convenience.
Settlement Criteria	Resolves to “Yes” if the Settlement Reference Source reports that the applicable payout criteria set forth has been satisfied and no applicable contingency has been triggered according to the Settlement Criteria listed below: Unless otherwise specified in the applicable Contract Specifications, all Baseball event contracts listed on ProphetX shall be settled in accordance with the rules set forth in this Chapter. Defined terms used herein have the meanings ascribed to them in the ProphetX Rulebook. References to 'orders' include resting and filled orders as applicable; references to 'settlement' or 'resolution' refer to final contract disposition following outcome determination. A. General. All contracts are offered in accordance with ProphetX's Rulebook and Terms and Conditions. Unless specifically stated in the Contract Specifications, settlement of contracts shall be based on the official classifications, definitions, and tiebreaking rules established by

Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition.

B. Scheduling. Dates and start times displayed on the Exchange are provided for informational purposes only and are not guaranteed. Official schedules are as published by the applicable governing body.

C. Postponed Events. If an event does not commence on the officially scheduled calendar day (local time), as published by the governing body, due to a rain delay or other deferral, all contracts referencing that event shall be void and collateral shall be returned to the applicable accounts.

D. Suspended Events. If an event commences, is suspended, and is not resumed within thirty-six (36) hours of the official scheduled start time, all contracts shall be void unless: (i) the contract is subject to the 4.5 Innings Rule as defined in Rule I. below; or (ii) the resolution of the contract was unequivocally determined prior to suspension.

E. 8.5 Innings Rule. Unless otherwise specified in the Contract Specifications, contracts shall be settled only upon completion of a minimum of nine (9) innings of play, or eight and one-half (8.5) innings should the home team be leading at the commencement of the bottom of the ninth inning (the "8.5 Innings Rule"), or

F. Unequivocal Outcomes. Contracts whose outcomes are unequivocally determined prior to the conclusion of an event (e.g., a 0.5 Hits contract where the referenced player recorded a hit before the event was suspended) shall be settled in accordance with that outcome, regardless of the state of the full event or any subsequent postponement.

G. Extra Innings. Extra innings are included in contract settlement for all markets unless otherwise stated in the applicable Contract Specifications.

H. Moneyline Contracts. A Moneyline contract is an event contract in which the outcome is determined by which team wins the referenced event. In the scenario of a shortened event, results shall be official after completion of five (5) innings of play, or four and one-half (4.5) innings should the home team be leading at the commencement of the bottom of the fifth inning (the "4.5 Innings Rule"). Once the visiting team has recorded fifteen (15) outs: (i) if the event is called early and the home team is leading, the contract shall resolve based on the score at the time the event is called; or (ii) if the event is called early while tied or during an inning in which the visiting team has taken the lead, it shall be treated as a suspended event and handled in accordance with Rule D above.

I. Spread Contracts. A Spread contract is an event contract in which the outcome is determined by whether the chosen team's margin of

victory or defeat satisfies the listed spread. In circumstances where the result, after application of the Spread, exactly equals the Strike, that contract shall be void and collateral shall be returned to the applicable accounts. Example: a contract on Team A at -1.0 shall be void if Team A wins by exactly one (1) run.

J. Total Runs Contracts. A Total Runs contract is an event contract in which the outcome is determined by whether the combined final score of the referenced event is over the listed Strike. Orders shall resolve to Yes if the total exceeds the Strike, to No if the total falls below the Strike, and void if the total exactly equals the Strike. Example: an order on Over 5 Runs shall resolve to Yes if 6 runs are scored, to No if 4 runs are scored, and void if exactly 5 runs are scored.

K. Futures Contracts. A Futures contract is an event contract in which the outcome is determined by whether a specified participant wins or places within a specified position in the final classification of the listed event or competition. World Series, League, and Division Winners contracts shall be settled in accordance with the official MLB ruling, regardless of season length.

1. Playoff Series Player Specials. Dead-heat rules apply where multiple players tie for the lead in outright markets such as "Player to Record Most Hits" or "Player to Record Most Home Runs."

L. Player Statistics Contracts (Props). For any Player Statistic contract, the referenced player must be in the starting lineup unless otherwise stated in the Contract Specifications, and must: (i) throw at least one (1) pitch, if a pitcher; or (ii) record at least one (1) plate appearance, if a position player, for the contract to have action.

1. Player Markets – General. For all MLB player markets, including Head-to-Head Player Statistic Contracts for a specific event, contracts shall be valid if the referenced player(s) are in the starting lineup and the outcome is unequivocally determined.

The following void conditions apply to all MLB player statistic contracts unless explicitly stated otherwise in the Contract Specifications:

2. Pitcher Markets. Contracts shall be void if the listed pitcher does not start the event.
3. Batter Markets (Hits, Runs, etc.). Contracts shall be void if the listed player does not record a plate appearance.
4. Total Strikeouts. The listed pitcher must start the event for contracts to be valid. Contracts shall remain valid regardless of whether the opposing listed pitcher starts.
5. Total Bases. A batter shall be credited with total bases only upon recording a single (1 base), double (2 bases), triple (3 bases), or home run (4 bases).

	6. Intentional Walks. An intentional walk shall count as a walk for purposes of settlement for both the batter who is walked and the pitcher who is pitching at the time of the intentional walk. 7. Player Statistic Parlays. For pitcher legs, the listed pitcher must start the event for contracts to stand; contracts shall remain valid regardless of a change in status of the opposing listed pitcher. For batter legs, the listed player must start and record at least one (1) plate appearance for contracts to stand; failing either condition, contracts on that leg shall be voided. A change in the status of either listed pitcher shall have no bearing on the settlement of any batter-specific leg of a Player Performance Parlay. M. Individual Season Award Futures. This category includes, but is not limited to, MLB MVP, MLB Rookie of the Year, Gold Glove Winner, MLB Manager of the Year, and all other individual MLB player season awards. Settlement shall be determined by the outcome declared by the relevant voting association (e.g., the Baseball Writers' Association of America for the Rookie of the Year, MVP, and Cy Young; MLB active players and managers for the Gold Glove and Silver Slugger). N. Home Run Derby. Contracts relating to home run distances shall be settled according to figures provided by MLB's Statcast. For contracts referencing two or more contestants, if two contestants are eliminated in the same stage of the competition, contracts on which player will advance further shall be void. O. All-Star Markets. Contracts relating to specific All-Star markets, including but not limited to the MLB All-Star MVP, shall be settled upon the winner declared by MLB through MLB.com. P. Any Team to Hit a Grand Slam. Contracts on "Any Team to Hit a Grand Slam" shall be settled as a win if a player hits a home run with runners on first, second, and third base at the time of contact. Any event that commences on the date the contract is listed shall be included for settlement purposes.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.

Last Trading Date/Time	Trading closes when the <Competitor> is no longer eligible to achieve the relevant <Outcome> in the <Season> or has achieved the relevant <Outcome> in the <Season> and the result is reflected by the Settlement Reference Source. No new position may be opened after this time.
Expiration Date and Time	The date and time at which the outcome of the Contract becomes determinable based on information published by the Settlement Reference Source with respect to the <Outcome> for the <Season>. The Expiration Date and Time will be adjusted to reflect any change to MLB's schedule, standings, or postseason format.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

Common Provisions: Contracts are issued on a recurring basis corresponding to the MLB season and postseason calendar. The Exchange may list multiple iterations referencing different competitors, titles, and seasons. All Contracts are fully collateralized, cash-settled, and constitute Swaps under the CEA. Settlement determinations are final and irrevocable once effected, subject to Rule 5.2 of the Rulebook. The final Settlement Value and supporting settlement information for each Contract will be publicly posted on the Exchange's website following settlement.

APPENDIX A-3 – CONTRACT TERMS AND CONDITIONS

1. MLB Baseball Moneyline Contracts

“Will <Club> win <Event>?”

Official Name	“Will <Club> win <Event>?”
Underlying	<Club> refers to one of the two clubs competing in a specified MLB regular-season or postseason event. <Event> identifies the specific event by date, the two competing clubs, and relevant distinguishing information. <Event> refers to a given sporting event, or specified period within a sporting event. The specified period must be at minimum one (1) inning in duration.
Source Agency	The Settlement Reference Source consists of authoritative, publicly available sources that publish official event results. The primary source for each event is the applicable governing body <u>the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition</u> . Secondary sources include ESPN and The Associated Press. If the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange may consult one or more secondary sources. If no Settlement Reference Source has published an official result and a settlement disruption exists, the Exchange may exercise its authority under Exchange Rule 5.2. All Settlement Reference Sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the designated Settlement Reference Sources by posting notice on its website or trading platform. Any instructions regarding access to a Settlement Reference Source are non-binding and provided solely for convenience.
Settlement Criteria	Resolves to “Yes” if the applicable settlement criteria set forth below has been satisfied and no applicable contingency has been triggered according to the applicable settlement criteria listed below: Unless otherwise specified in the applicable Contract Specifications, all Baseball event contracts listed on ProphetX shall be settled in accordance with the rules set forth in this Chapter. Defined terms used herein have the meanings ascribed to them in the ProphetX Rulebook. References to 'orders' include resting and filled orders as applicable; references to 'settlement' or 'resolution' refer to final contract disposition following outcome determination. A. General. All contracts are offered in accordance with ProphetX's Rulebook and Terms and Conditions. Unless specifically stated in the Contract Specifications, settlement of contracts shall be based on the official classifications, definitions, and tiebreaking rules established by

Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition.

B. Scheduling. Dates and start times displayed on the Exchange are provided for informational purposes only and are not guaranteed. Official schedules are as published by the applicable governing body.

C. Postponed Events. If an event does not commence on the officially scheduled calendar day (local time), as published by the governing body, due to a rain delay or other deferral, all contracts referencing that event shall be void and collateral shall be returned to the applicable accounts.

D. Suspended Events. If an event commences, is suspended, and is not resumed within thirty-six (36) hours of the official scheduled start time, all contracts shall be void unless: (i) the contract is subject to the 4.5 Innings Rule as defined in Rule I. below; or (ii) the resolution of the contract was unequivocally determined prior to suspension.

E. 8.5 Innings Rule. Unless otherwise specified in the Contract Specifications, contracts shall be settled only upon completion of a minimum of nine (9) innings of play, or eight and one-half (8.5) innings should the home team be leading at the commencement of the bottom of the ninth inning (the "8.5 Innings Rule"), or

F. Unequivocal Outcomes. Contracts whose outcomes are unequivocally determined prior to the conclusion of an event (e.g., a 0.5 Hits contract where the referenced player recorded a hit before the event was suspended) shall be settled in accordance with that outcome, regardless of the state of the full event or any subsequent postponement.

G. Extra Innings. Extra innings are included in contract settlement for all markets unless otherwise stated in the applicable Contract Specifications.

H. Moneyline Contracts. A Moneyline contract is an event contract in which the outcome is determined by which team wins the referenced event. In the scenario of a shortened event, results shall be official after completion of five (5) innings of play, or four and one-half (4.5) innings should the home team be leading at the commencement of the bottom of the fifth inning (the "4.5 Innings Rule"). Once the visiting team has recorded fifteen (15) outs: (i) if the event is called early and the home team is leading, the contract shall resolve based on the score at the time the event is called; or (ii) if the event is called early while tied or during an inning in which the visiting team has taken the lead, it shall be treated as a suspended event and handled in accordance with Rule D above.

I. Spread Contracts. A Spread contract is an event contract in which the outcome is determined by whether the chosen team's margin of

victory or defeat satisfies the listed spread. In circumstances where the result, after application of the Spread, exactly equals the Strike, that contract shall be void and collateral shall be returned to the applicable accounts. Example: a contract on Team A at -1.0 shall be void if Team A wins by exactly one (1) run.

J. Total Runs Contracts. A Total Runs contract is an event contract in which the outcome is determined by whether the combined final score of the referenced event is over the listed Strike. Orders shall resolve to Yes if the total exceeds the Strike, to No if the total falls below the Strike, and void if the total exactly equals the Strike. Example: an order on Over 5 Runs shall resolve to Yes if 6 runs are scored, to No if 4 runs are scored, and void if exactly 5 runs are scored.

K. Futures Contracts. A Futures contract is an event contract in which the outcome is determined by whether a specified participant wins or places within a specified position in the final classification of the listed event or competition. World Series, League, and Division Winners contracts shall be settled in accordance with the official MLB ruling, regardless of season length.

1. **Playoff Series Player Specials.** Dead-heat rules apply where multiple players tie for the lead in outright markets such as "Player to Record Most Hits" or "Player to Record Most Home Runs."

L. Player Statistics Contracts (Props). For any Player Statistic contract, the referenced player must be in the starting lineup unless otherwise stated in the Contract Specifications, and must: (i) throw at least one (1) pitch, if a pitcher; or (ii) record at least one (1) plate appearance, if a position player, for the contract to have action.

1. **Player Markets – General.** For all MLB player markets, including Head-to-Head Player Statistic Contracts for a specific event, contracts shall be valid if the referenced player(s) are in the starting lineup and the outcome is unequivocally determined.

The following void conditions apply to all MLB player statistic contracts unless explicitly stated otherwise in the Contract Specifications:

2. **Pitcher Markets.** Contracts shall be void if the listed pitcher does not start the event.
3. **Batter Markets (Hits, Runs, etc.).** Contracts shall be void if the listed player does not record a plate appearance.
4. **Total Strikeouts.** The listed pitcher must start the event for contracts to be valid. Contracts shall remain valid regardless of whether the opposing listed pitcher starts.
5. **Total Bases.** A batter shall be credited with total bases only upon recording a single (1 base), double (2 bases), triple (3 bases), or home run (4 bases).

	6. Intentional Walks. An intentional walk shall count as a walk for purposes of settlement for both the batter who is walked and the pitcher who is pitching at the time of the intentional walk. 7. Player Statistic Parlays. For pitcher legs, the listed pitcher must start the event for contracts to stand; contracts shall remain valid regardless of a change in status of the opposing listed pitcher. For batter legs, the listed player must start and record at least one (1) plate appearance for contracts to stand; failing either condition, contracts on that leg shall be voided. A change in the status of either listed pitcher shall have no bearing on the settlement of any batter-specific leg of a Player Performance Parlay. M. Individual Season Award Futures. This category includes, but is not limited to, MLB MVP, MLB Rookie of the Year, Gold Glove Winner, MLB Manager of the Year, and all other individual MLB player season awards. Settlement shall be determined by the outcome declared by the relevant voting association (e.g., the Baseball Writers' Association of America for the Rookie of the Year, MVP, and Cy Young; MLB active players and managers for the Gold Glove and Silver Slugger). N. Home Run Derby. Contracts relating to home run distances shall be settled according to figures provided by MLB's Statcast. For contracts referencing two or more contestants, if two contestants are eliminated in the same stage of the competition, contracts on which player will advance further shall be void. O. All-Star Markets. Contracts relating to specific All-Star markets, including but not limited to the MLB All-Star MVP, shall be settled upon the winner declared by MLB through MLB.com. P. Any Team to Hit a Grand Slam. Contracts on "Any Team to Hit a Grand Slam" shall be settled as a win if a player hits a home run with runners on first, second, and third base at the time of contact. Any event that commences on the date the contract is listed shall be included for settlement purposes.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.

Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Settlement Reference Source. No new position may be opened after this time.
Expiration Date and Time	The date and time at which the outcome of the Contract becomes determinable based on information published by the Settlement Reference Source with respect to <Event>. If it is postponed, suspended, or rescheduled, the Expiration Date and Time will be adjusted accordingly.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

2. MLB Baseball Run Line Contracts

"Will <Club> cover the <±N> run line in <Event>?"

Official Name	"Will <Club> cover the <±N> run line in <Event>?"
Underlying	The margin of victory in a specified MLB regular-season or postseason game. <Club> and <Event> have the same meanings as in the Moneyline Contracts above. <±N> refers to the run handicap applied to <Club>'s final run total, as listed on the platform. The Exchange may list iterations with run handicaps other than ±1.5.
Source Agency	The Source Agency comprises authoritative, publicly available sources that publish the official results of the event. The primary source for all events is the event's relevant governing body <u>the applicable event is Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition</u> . Secondary sources include ESPN and The Associated Press. In the event the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange will consult secondary sources. If no Source Agency has published an official result and a settlement disruption exists, the Exchange may invoke its authority under Rule 5.2 of the Rulebook. All Source Agency sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the Source Agency designation by posting notice on its website or platform. Instructions on how to

	access the Source Agency are non-binding and provided for convenience only.
Type	Event Contract (binary). Each Contract constitutes a Swap.
Settlement Criteria	Resolves to “Yes” if the applicable settlement criteria set forth below has been satisfied and no applicable contingency has been triggered according to the applicable settlement criteria listed in the initial settlement criteria section.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.
Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Source Agency. No new position may be opened after this time.
Expiration Date	The calendar date on which the official result of <Event> is published by the Source Agency. Adjusts automatically if <Event> is postponed, suspended, or rescheduled.
Expiration Time	The time at which the official result of <Event> is first reflected in the Source Agency’s reporting.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

3. MLB Baseball Total Runs Contracts

“Will the total runs scored in <Event> be over <N>?”

Official Name	"Will the total runs scored in <Event> be over <N>?"
Underlying	The combined runs scored by both clubs in a specified MLB regular-season or postseason event. <Event> has the same meaning as in the Moneyline Contracts. <N> refers to the stated run total threshold listed on the platform.
Source Agency	The Source Agency comprises authoritative, publicly available sources that publish the official results of the event. The primary source for all events is the event's relevant governing body <u>the applicable event is Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition</u> . Secondary sources include ESPN and The Associated Press. In the event the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange will consult secondary sources. If no Source Agency has published an official result and a settlement disruption exists, the Exchange may invoke its authority under Rule 5.2 of the Rulebook. All Source Agency sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the Source Agency designation by posting notice on its website or platform. Instructions on how to access the Source Agency are non-binding and provided for convenience only.
Type	Event Contract (binary). Each Contract constitutes a Swap.
Settlement Criteria	Resolves to "Yes" if the applicable settlement criteria set forth below has been satisfied and no applicable contingency has been triggered according to the applicable settlement criteria listed in the initial settlement criteria section.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.

Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Source Agency. No new position may be opened after this time.
Expiration Date	The calendar date on which the official result of <Event> is published by the Source Agency. Adjusts automatically if <Event> is postponed, suspended, or rescheduled.
Expiration Time	The time at which the official result of <Event> is first reflected in the Source Agency's reporting.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

Common Provisions: Contracts are issued on a recurring basis corresponding to MLB regular-season and postseason scheduling. The Exchange may list multiple iterations of each sub-class for the same game. All Contracts are fully collateralized, cash-settled, and constitute Swaps under the CEA. Settlement determinations are final and irrevocable once effected, subject to Rule 5.2 of the Rulebook. The final Settlement Value and supporting settlement information for each Contract will be publicly posted on the Exchange's website following settlement.

APPENDIX A-3(a) – CONTRACT TERMS AND CONDITIONS**1. MLB Baseball Moneyline Contracts**

“Will <Club> win <Event>?”

Official Name	“Will <Club> win <Event>?”
Underlying	<Club> refers to one of the two clubs competing in a specified MLB regular-season or postseason event. <Event> identifies the specific event by date, the two competing clubs, and relevant distinguishing information. <Event> refers to a given sporting event, or specified period within a sporting event. The specified period must be at minimum one (1) inning in duration.
Source Agency	The Settlement Reference Source consists of authoritative, publicly available sources that publish official event results. The primary source the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition. Secondary sources include ESPN and The Associated Press. If the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange may consult one or more secondary sources. If no Settlement Reference Source has published an official result and a settlement disruption exists, the Exchange may exercise its authority under Exchange Rule 5.2. All Settlement Reference Sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the designated Settlement Reference Sources by posting notice on its website or trading platform. Any instructions regarding access to a Settlement Reference Source are non-binding and provided solely for convenience.
Settlement Criteria	Resolves to “Yes” if the applicable settlement criteria set forth below has been satisfied and no applicable contingency has been triggered according to the applicable settlement criteria listed below: Unless otherwise specified in the applicable Contract Specifications, all Baseball event contracts listed on ProphetX shall be settled in accordance with the rules set forth in this Chapter. Defined terms used herein have the meanings ascribed to them in the ProphetX Rulebook. References to 'orders' include resting and filled orders as applicable; references to 'settlement' or 'resolution' refer to final contract disposition following outcome determination. A. General. All contracts are offered in accordance with ProphetX's Rulebook and Terms and Conditions. Unless specifically stated in the Contract Specifications, settlement of contracts shall be based on the official classifications, definitions, and tiebreaking rules established by

Major League Baseball ("MLB") through MLB.com, or the official website of the applicable competition.

B. Scheduling. Dates and start times displayed on the Exchange are provided for informational purposes only and are not guaranteed. Official schedules are as published by the applicable governing body.

C. Postponed Events. If an event does not commence on the officially scheduled calendar day (local time), as published by the governing body, due to a rain delay or other deferral, all contracts referencing that event shall be void and collateral shall be returned to the applicable accounts.

D. Suspended Events. If an event commences, is suspended, and is not resumed within thirty-six (36) hours of the official scheduled start time, all contracts shall be void unless: (i) the contract is subject to the 4.5 Innings Rule as defined in Rule I. below; or (ii) the resolution of the contract was unequivocally determined prior to suspension.

E. 8.5 Innings Rule. Unless otherwise specified in the Contract Specifications, contracts shall be settled only upon completion of a minimum of nine (9) innings of play, or eight and one-half (8.5) innings should the home team be leading at the commencement of the bottom of the ninth inning (the "8.5 Innings Rule"), or

F. Unequivocal Outcomes. Contracts whose outcomes are unequivocally determined prior to the conclusion of an event (e.g., a 0.5 Hits contract where the referenced player recorded a hit before the event was suspended) shall be settled in accordance with that outcome, regardless of the state of the full event or any subsequent postponement.

G. Extra Innings. Extra innings are included in contract settlement for all markets unless otherwise stated in the applicable Contract Specifications.

H. Moneyline Contracts. A Moneyline contract is an event contract in which the outcome is determined by which team wins the referenced event. In the scenario of a shortened event, results shall be official after completion of five (5) innings of play, or four and one-half (4.5) innings should the home team be leading at the commencement of the bottom of the fifth inning (the "4.5 Innings Rule"). Once the visiting team has recorded fifteen (15) outs: (i) if the event is called early and the home team is leading, the contract shall resolve based on the score at the time the event is called; or (ii) if the event is called early while tied or during an inning in which the visiting team has taken the lead, it shall be treated as a suspended event and handled in accordance with Rule D above.

I. Spread Contracts. A Spread contract is an event contract in which the outcome is determined by whether the chosen team's margin of

victory or defeat satisfies the listed spread. In circumstances where the result, after application of the Spread, exactly equals the Strike, that contract shall be void and collateral shall be returned to the applicable accounts. Example: a contract on Team A at -1.0 shall be void if Team A wins by exactly one (1) run.

J. Total Runs Contracts. A Total Runs contract is an event contract in which the outcome is determined by whether the combined final score of the referenced event is over the listed Strike. Orders shall resolve to Yes if the total exceeds the Strike, to No if the total falls below the Strike, and void if the total exactly equals the Strike. Example: an order on Over 5 Runs shall resolve to Yes if 6 runs are scored, to No if 4 runs are scored, and void if exactly 5 runs are scored.

K. Futures Contracts. A Futures contract is an event contract in which the outcome is determined by whether a specified participant wins or places within a specified position in the final classification of the listed event or competition. World Series, League, and Division Winners contracts shall be settled in accordance with the official MLB ruling, regardless of season length.

1. **Playoff Series Player Specials.** Dead-heat rules apply where multiple players tie for the lead in outright markets such as "Player to Record Most Hits" or "Player to Record Most Home Runs."

L. Player Statistics Contracts (Props). For any Player Statistic contract, the referenced player must be in the starting lineup unless otherwise stated in the Contract Specifications, and must: (i) throw at least one (1) pitch, if a pitcher; or (ii) record at least one (1) plate appearance, if a position player, for the contract to have action.

1. **Player Markets – General.** For all MLB player markets, including Head-to-Head Player Statistic Contracts for a specific event, contracts shall be valid if the referenced player(s) are in the starting lineup and the outcome is unequivocally determined.

The following void conditions apply to all MLB player statistic contracts unless explicitly stated otherwise in the Contract Specifications:

2. **Pitcher Markets.** Contracts shall be void if the listed pitcher does not start the event.
3. **Batter Markets (Hits, Runs, etc.).** Contracts shall be void if the listed player does not record a plate appearance.
4. **Total Strikeouts.** The listed pitcher must start the event for contracts to be valid. Contracts shall remain valid regardless of whether the opposing listed pitcher starts.
5. **Total Bases.** A batter shall be credited with total bases only upon recording a single (1 base), double (2 bases), triple (3 bases), or home run (4 bases).

	6. Intentional Walks. An intentional walk shall count as a walk for purposes of settlement for both the batter who is walked and the pitcher who is pitching at the time of the intentional walk. 7. Player Statistic Parlays. For pitcher legs, the listed pitcher must start the event for contracts to stand; contracts shall remain valid regardless of a change in status of the opposing listed pitcher. For batter legs, the listed player must start and record at least one (1) plate appearance for contracts to stand; failing either condition, contracts on that leg shall be voided. A change in the status of either listed pitcher shall have no bearing on the settlement of any batter-specific leg of a Player Performance Parlay. M. Individual Season Award Futures. This category includes, but is not limited to, MLB MVP, MLB Rookie of the Year, Gold Glove Winner, MLB Manager of the Year, and all other individual MLB player season awards. Settlement shall be determined by the outcome declared by the relevant voting association (e.g., the Baseball Writers' Association of America for the Rookie of the Year, MVP, and Cy Young; MLB active players and managers for the Gold Glove and Silver Slugger). N. Home Run Derby. Contracts relating to home run distances shall be settled according to figures provided by MLB's Statcast. For contracts referencing two or more contestants, if two contestants are eliminated in the same stage of the competition, contracts on which player will advance further shall be void. O. All-Star Markets. Contracts relating to specific All-Star markets, including but not limited to the MLB All-Star MVP, shall be settled upon the winner declared by MLB through MLB.com. P. Any Team to Hit a Grand Slam. Contracts on "Any Team to Hit a Grand Slam" shall be settled as a win if a player hits a home run with runners on first, second, and third base at the time of contact. Any event that commences on the date the contract is listed shall be included for settlement purposes.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.

Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Settlement Reference Source. No new position may be opened after this time.
Expiration Date and Time	The date and time at which the outcome of the Contract becomes determinable based on information published by the Settlement Reference Source with respect to <Event>. If it is postponed, suspended, or rescheduled, the Expiration Date and Time will be adjusted accordingly.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

2. MLB Baseball Run Line Contracts

“Will <Club> cover the <±N> run line in <Event>?”

Official Name	“Will <Club> cover the <±N> run line in <Event>?”
Underlying	The margin of victory in a specified MLB regular-season or postseason game. <Club> and <Event> have the same meanings as in the Moneyline Contracts above. <±N> refers to the run handicap applied to <Club>’s final run total, as listed on the platform. The Exchange may list iterations with run handicaps other than ±1.5.
Source Agency	The Source Agency comprises authoritative, publicly available sources that publish the official results of the event. The primary source for the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition. Secondary sources include ESPN and The Associated Press. In the event the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange will consult secondary sources. If no Source Agency has published an official result and a settlement disruption exists, the Exchange may invoke its authority under Rule 5.2 of the Rulebook. All Source Agency sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the Source Agency designation by posting notice on its website or platform. Instructions on how to access the Source Agency are non-binding and provided for convenience only.

Type	Event Contract (binary). Each Contract constitutes a Swap.
Settlement Criteria	Resolves to “Yes” if the applicable settlement criteria set forth below has been satisfied and no applicable contingency has been triggered according to the applicable settlement criteria listed in the initial settlement criteria section.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.
Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Source Agency. No new position may be opened after this time.
Expiration Date	The calendar date on which the official result of <Event> is published by the Source Agency. Adjusts automatically if <Event> is postponed, suspended, or rescheduled.
Expiration Time	The time at which the official result of <Event> is first reflected in the Source Agency’s reporting.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

3. MLB Baseball Total Runs Contracts

“Will the total runs scored in <Event> be over <N>?”

Official Name	“Will the total runs scored in <Event> be over <N>?”
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Underlying	The combined runs scored by both clubs in a specified MLB regular-season or postseason event. <Event> has the same meaning as in the Moneyline Contracts. <N> refers to the stated run total threshold listed on the platform.
Source Agency	The Source Agency comprises authoritative, publicly available sources that publish the official results of the event. The primary source for the applicable event is Major League Baseball (“MLB”) through MLB.com, or the official website of the applicable competition. Secondary sources include ESPN and The Associated Press. In the event the primary source has not published an official result within a reasonable time following the conclusion of the Event, the Exchange will consult secondary sources. If no Source Agency has published an official result and a settlement disruption exists, the Exchange may invoke its authority under Rule 5.2 of the Rulebook. All Source Agency sources are publicly available, widely disseminated, and independent of the Exchange and its Market Participants. The Exchange may update the Source Agency designation by posting notice on its website or platform. Instructions on how to access the Source Agency are non-binding and provided for convenience only.
Type	Event Contract (binary). Each Contract constitutes a Swap.
Settlement Criteria	Resolves to “Yes” if the applicable settlement criteria set forth below has been satisfied and no applicable contingency has been triggered according to the applicable settlement criteria listed in the initial settlement criteria section.
Minimum Tick	\$0.01 per Contract.
Notional Value	\$1.00 per Contract.
Settlement Value	\$1.00 per in-the-money Contract.
Position Accountability Level	25,000 Contracts per Market Participant per strike.
Last Trading Date/Time	Trading closes when <Event> is officially concluded and its result is reflected by the Source Agency. No new position may be opened after this time.

Expiration Date	The calendar date on which the official result of <Event> is published by the Source Agency. Adjusts automatically if <Event> is postponed, suspended, or rescheduled.
Expiration Time	The time at which the official result of <Event> is first reflected in the Source Agency's reporting.
Settlement Date	No later than one business day following the Expiration Date, unless the Market Outcome is under review pursuant to applicable Exchange Rules.

Common Provisions: Contracts are issued on a recurring basis corresponding to MLB regular-season and postseason scheduling. The Exchange may list multiple iterations of each sub-class for the same game. All Contracts are fully collateralized, cash-settled, and constitute Swaps under the CEA. Settlement determinations are final and irrevocable once effected, subject to Rule 5.2 of the Rulebook. The final Settlement Value and supporting settlement information for each Contract will be publicly posted on the Exchange's website following settlement.